

Torrent Pharmaceuticals Ltd

TORNTPHARM · Healthcare

ROE

24.2%

ROCE

23.5%

Net Profit Margin

15.4%

Debt-to-Equity

0.59

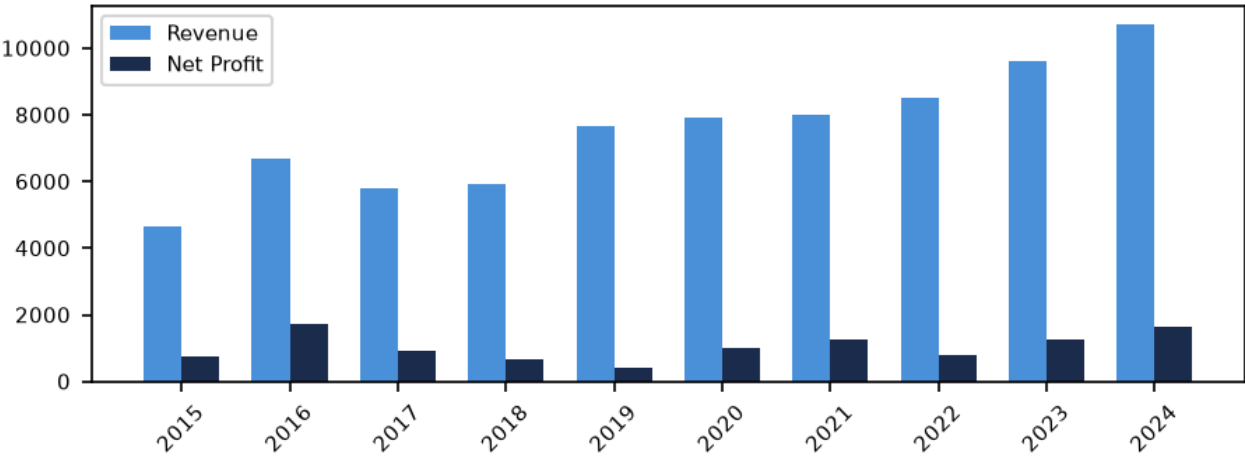
Revenue CAGR (5yr)

6.9%

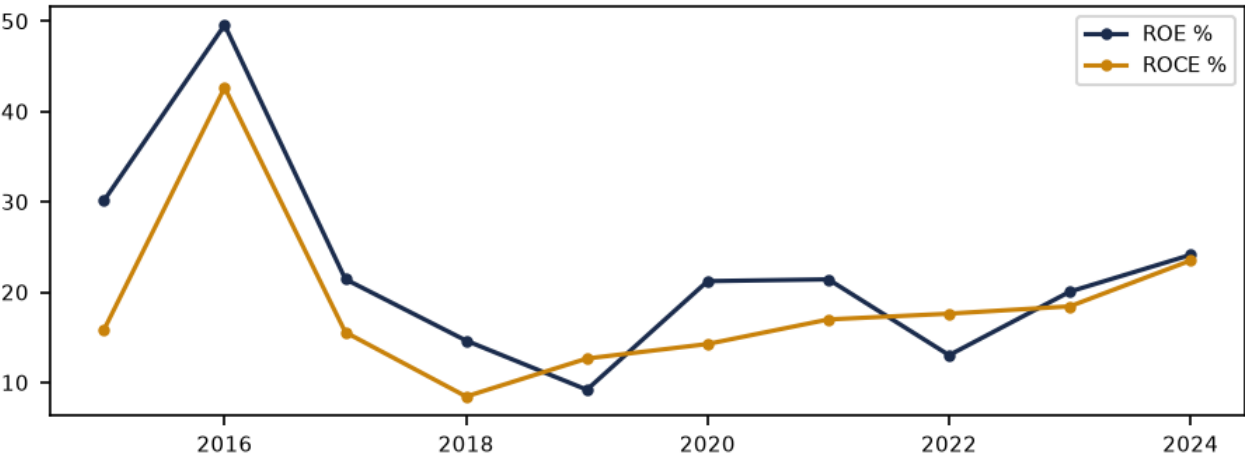
Free Cash Flow

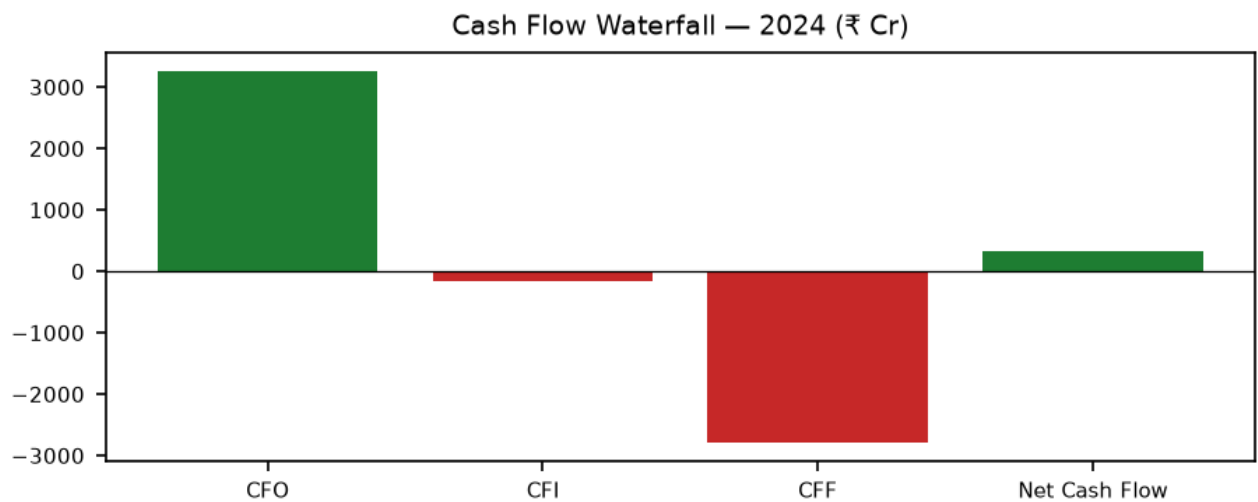
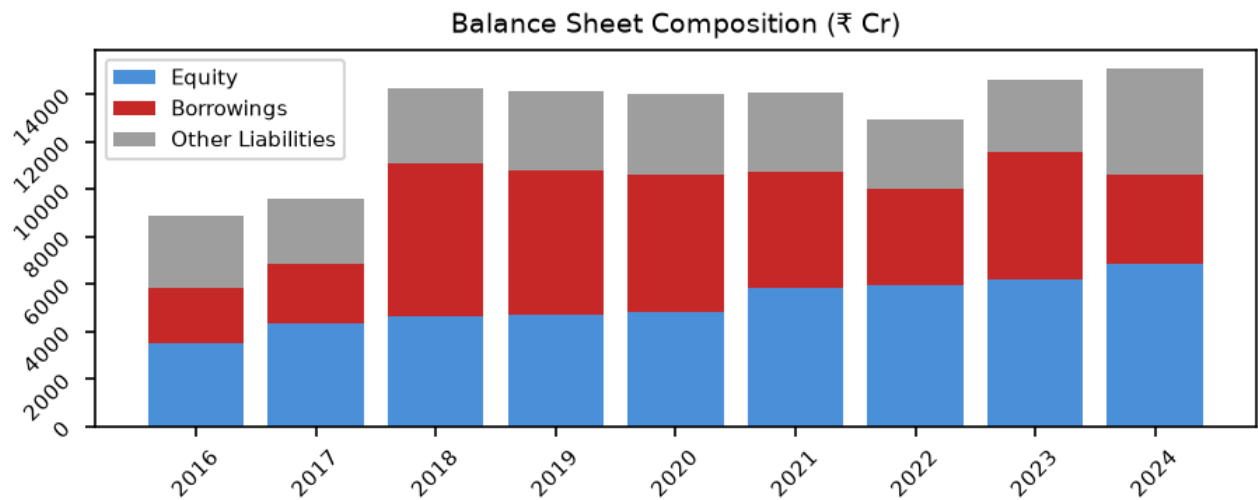
■ 3,106 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Growing asset base funded by internal accruals reflects self-sustaining growth
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- ✗ Debt-to-equity ratio of 0.59 is a factor worth monitoring given the company's capital structure

Capital Allocation: Reinvestor